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Tentative Ruling

Santoro v. Anderson, Case no.
26VECV00459

Hearing date July 29, 2026

Plaintiff/Cross-Defendant
Santoro's Demurrer with Motion to Strike the Cross-Complaint

Plaintiff
Santoro sues defendants Anderson, Valencia Naturals, Inc., Natural Life Laboratories and Concept Naturals, Inc., alleging breach of contract. Plaintiff and Anderson were partners and co-owners of Concept Naturals, Natural Life and Valencia Naturals (collectively "corporate entities"). Corporate entities cross-complain, alleging breaches of settlement agreement, asset purchase agreement, fraudulent inducement and other contract causes of action. Plaintiff demurs to the second through ninth causes of action and moves to strike allegations related to punitive damages and attorney's fees. Cross-complainants oppose.

Plaintiff
requests judicial notice of the verified fourth amended complaint filed 4/20/26. GRANTED pursuant to Evid. Code §452(d).

Plaintiff/Cross-Defendant Santoro's Demurrer to
Cross-Complaint

“The function of a demurrer is to test the sufficiency of the complaint as a matter of law.” Holiday Matinee, Inc. v. Rambus, Inc. (2004) 118 Cal.App.4th 1413, 1420. A complaint “is sufficient if it alleges ultimate rather than evidentiary facts,” Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. Doheny Park Terrace Homeowners Ass’n., Inc. v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099.

Plaintiff demurs to the claim for breach of contract – asset purchase agreement. The elements are: (1) existence of a contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) resulting damages. Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820. Plaintiff argues the cross-complaint fails to specifically allege performance by cross-complainants or facts excusing non-performance. Plaintiff offers no arguments as to the other elements of a breach of contract claim.

Cross-complainants argue they sufficiently pled each element of a breach of contract claim. Paragraph 71 of the cross-complaint alleges cross-complainants “did all, or substantially all, of the significant terms that were required, or his performance was otherwise excused or waived.” Cross-Compl., para. 71. This is insufficient. “[I]t is elementary that one party to a contract cannot compel another to perform while he himself is in default.” Lewis Publishing Co. v. Henderson (1930) 103 Cal.App. 425, 429. Excuses for nonperformance must be pled specifically; general allegations are not enough. See Kirk v. Culley (1927) 202 Cal. 501, 506, 261; Durrell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1367. SUSTAINED with 15 days leave to amend.

Plaintiff demurs to the third cause of action for breach of the implied covenant of good faith and fair dealing. “Implied in every contract is a covenant of good faith and fair dealing. The implied covenant prevents one side from unfairly frustrating the other’s right to receive the benefits of the agreement actually made. The covenant does not impose substantive terms beyond those of the contract. A plaintiff claiming breach must allege the defendant’s wrongful conduct was contrary to the contract’s purpose and the parties’ legitimate expectations.” Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th

145, 156. Plaintiff argues the only breaches alleged against him are breach of contract claims, not separate claims arising from his conduct as it relates to the settlement agreement or asset purchase agreement.

Cross-complainants argue they alleged that plaintiff: (1) fraudulently inflated historical sales metrics; (2) unilaterally provided favorable contractual terms that obligated cross-complainants to perform at a heavy loss post-APA agreement; and (3) approached cross-complainants' distributors with proprietary trade secrets that disrupted ongoing contracts. See Cross-Compl., para. 82. Cross-complainants argue these allegations of intentional torts support a claim for breach of the implied covenant of good faith and fair dealing.

A claim for breach of the implied covenant of good faith and fair dealing requires an alleged failure or refusal to discharge contractual responsibilities, not alleged acts separate and apart from the contract itself. See Careau & Co. v. Sec. Pac. Bus. Credit, Inc. (1990) 222 Cal. App. 3d 1371, 1394–95. Cross-complaint, para. 82 lists alleged breaches of specific elements of the asset purchase agreement but fails to allege failure or refusal to discharge contractual responsibilities, prompted by a conscious and deliberate act. See Careau, supra. Further specific allegations must be alleged to demonstrate that the third cause of action is not duplicative of the second. SUSTAINED with 15 days leave to amend.

Plaintiff demurs to the cause of action for fraudulent inducement – settlement agreement and fifth cause of action for fraudulent inducement – asset purchase agreement. The elements are: (1) misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity (scienter); (3) intent to defraud (i.e., to induce reliance); (4) justifiable reliance; and (5) resulting damage. See Dhital v. Nissan N. Am., Inc. (2022) 84 Cal. App. 5th 828, 843–844. These elements must be pleaded with specificity. Id.

The cross-complaint alleges the purported fraud occurred via: (1) artificially and without authorization inflating historical sales metrics; (2) binding cross-complainants to heavily discounted contractual terms to be performed post-APA; and (3) acts constituting misappropriation or intentional interference. Cross-Compl., paras. 91, 104. The cross-complaint fails to allege to whom, when, where and how these (mis)representations were made.

If
entrance into a contract is fraudulently induced, the contract must be rescinded by the induced party upon discovery of such fraud. See Oakland Raiders v. Oakland-Alameda Cnty. Coliseum, Inc. (2006) 144 Cal. App. 4th 1175, 1185–1186. The cross-complaint alleges the purported fraud was discovered “soon after the settlement agreement and [asset purchase agreement]” were entered into. Cross-Compl., para. 52. Cross-complainants allegedly conducted a subsequent investigation which revealed “[plaintiff] obligated Valencia to perform…contracts at significant losses in expected profits…” Id. at para. 55. The cross-complaint fails to allege recission or when the purported fraud was discovered.

Cross-complainants
argue reasonable diligence for rescission is based on the circumstances and is an issue of fact. See Eade v. Reich (1932) 120 Cal.App.32, 37-8. While the promptness requirement and a purported waiver or other equitable defense is an issue of fact (see Hil-Mac Corp. v. Mendo Wood Products, Inc. (1965) 235 Cal.App.2d 526, 529-30), cross-complainants are obligated to allege with specificity when the fraud was discovered and when and how they attempted recission. The demurrers to the fourth and fifth causes of action are SUSTAINED with 15 days leave to amend.

Plaintiff
demurs to the cause of action for breach of fiduciary duty. Cross-complaint alleges plaintiff breached fiduciary duties to cross-complainants by disclosing confidential information, making false and derogatory statements to cross-complainants’ agents and by acting for his own monetary benefit. Cross-Compl., paras. 119-120. Plaintiff argues the settlement agreement contains a general and Civ. Code §1542 waivers. See RJN 1, sections 2-3. The waiver states it is for “any and all causes of action, claims, suits, compensation, demands, damages, costs, expenses and liabilities of any kind, known or unknown, which any party now has or might hereafter have against the Released Parties.” Id. Plaintiff argues any breach of fiduciary duty claims have been waived.

Cross-complainants
argue they are permitted to advance alternative theories of liability, asserting both breach of contract claims and claims that the settlement

agreement and asset purchase agreement are unenforceable as fraudulently induced. “A plaintiff may plead inconsistent causes of action.” Batta v. Hunt (2024) 106 Cal.App.5th 295, 304. The cross-complaint alleges the sixth cause of action is brought “to the extent the settlement agreement and APA are not void.” Cross-Compl., para. 113. OVERRULED.

Plaintiff demurs to the seventh cause of action for intentional interference with contractual relations and the eighth cause of action for intentional interference with prospective economic advantage. “[A] plaintiff seeking to recover for an alleged interference with prospective contractual or economic relations must plead and prove as part of its case-in-chief that the defendant not only knowingly interfered with the plaintiff’s expectancy, but engaged in conduct that was wrongful by some legal measure other than the fact of interference itself.” Della Pena v. Toyota Motor Sales, U.S.A., Inc. (1995) 11 cal.4th 376, 393. Plaintiff argues the cross-complaint fails to allege wrongful conduct beyond the alleged interference.

Cross-complainants argue wrongful conduct beyond interference itself is not required for interference with prospective economic advantage claims where the alleged interferer had knowledge of certain or substantially certain interference. See Quelimane Co. v. Steward Title Guaranty Co. (1998) 19 Cal.4th 26, 55. The cross-complaint alleges plaintiff acted with knowledge that disruption was certain or substantially certain to occur. See Cross-Compl., paras. 129, 137. This is sufficient under Quelimane, supra.

“The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant’s knowledge of this contract; (3) defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” Pacific Gas & Electric Co. v. Bear Stearns & Co. (1990) 50 Cal.3d 1118, 1126. The cross-complaint contains general allegations as to the first three elements but fails to allege actual breach or disruption of relationship. See Cross-Compl., paras. 124-132. This is a required element of a cause of action for intentional interference with contractual relations. SUSTAINED with 15 days leave to amend.

“Intentional interference with prospective economic advantage has five elements: (1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant’s knowledge of the relationship; (3) intentionally wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused by the defendant’s action.” Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc. (2017) 2 Cal.5th 505, 512. Plaintiff argues cross-complainants failed to allege an intentional, wrongful act.

The cross-complaint alleges plaintiff: (1) stole proprietary information and materials (Cross-Compl., paras. 26-29); (2) took allegedly stolen information to a competitor (Id. at para. 30); and (3) gave internal data to cross-complainants’ distributors (Id. at paras. 56-57), among others. These are sufficiently alleged intentional wrongful acts that interfered with cross-complainants’ relationships. OVERRULED.

Plaintiff demurs to the cause of action for declaratory relief. Declaratory relief is an equitable remedy, not a cause of action. Faunce v. Cate (2013) 222 Cal.App.4th 166, 173. The remedy requires facts showing existence of an actual controversy relating to the legal rights and duties of the parties with a request that these rights and duties be adjudged by the court. Maguire v. Hibernia Savings and Loan Soc. (1944) 23 Cal.2d 719, 728. Plaintiff argues no controversy exists between the parties as to any rights or duties.

Cross-complainants argue they seek either: (1) declaratory relief as to the two agreements being void as fraudulently induced or consideration having failed (Cross-Compl., para. 144(a)); or (2) to the extent the contracts are not void, declaratory judgment was sought relative to the parties’ current respective rights and duties to one another on various terms of the agreements. Id. at para. 144(b). “Any person interested under a written instrument… or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property… may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract." Code Civ. Proc. §1060. OVERRULED.

Plaintiff/Cross-Defendant Santoro's Motion to Strike

As
the court sustained the demurrers to the second, third, fourth, fifth and seventh causes of action with leave to amend, the motion to strike is MOOT.